

HOW TO USE ?

Gap ups and gap downs have no meaning of their own in terms of trends and could take place over one-time news. Also, the market begins to exhaust itself after a few gap ups and gap downs. As a result, these should not be used to initiate any new trade assuming a high possibility of profit booking.

When we hold a particular asset, gap ups and gap downs should be helpful, as they reflect the strength in the trend and implies that we should continue holding the position. Beyond this, as discussed Gap Ups and Gap Downs should not mean anything in terms of initiating a trade.



HOW TO TRADE ?

There is a minor possibility of a profit booking if we follow a gap up. As a result, we will not initiate any new trades based on gap ups and gap downs alone. These can be combined well with other indicators to enter a trade. Let us see examples of gap ups and gap downs and their appearance when in practice.

